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INVESTMENT CONVICTIONS

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"In the middle of a difficulty lies opportunity."
(Albert Einstein)

KEY CONVICTIONS

- **We expect a re-acceleration of global economic growth in 2021 on the back of strong stimulus measures, accommodative policies from Central Banks and a gradual reopening of COVID affected economies**
- **This economic context should benefit riskier assets. We are overweight equities over bonds and cash in our portfolios**
- **We have increased our holdings in Asian and particularly Chinese Equities as these economies succeeded in curbing COVID infection rates which allowed them to reopen earlier**
- **We have invested in companies benefiting from President Biden's economic program**
- **Leading companies in sectors such as travel, tourism and luxury, which have been hit very hard by the pandemic are offering good value**
- **Within bonds, we have a preference for corporate credit and Emerging Markets credit which provides us with a higher yield than many government bonds from developed countries**

TOWARDS A WORLD POST COVID?

The global picture is not as gloomy!

In last month's Investment Convictions letter, we argued that whilst the news on COVID was very bleak especially in Europe, with a second wave of infections bringing new restrictions to our daily lives, the global picture was not as gloomy.

Indeed - whilst new infection rates were sharply rising in Europe and parts of the US, many Asian economies were getting back to normal. For example, large festivals with hundreds of people without masks were held last month in the Chinese city of Wuhan, which was the epicenter of COVID and was fully shut during the first quarter of the year.

Moreover domestic air traffic in China is back to pre-COVID levels and regular flights between Hong Kong and Singapore have recently been reestablished.

Effective vaccines are about to be rolled out...

We also argued that there was a pipeline of 11 new vaccines being in the final testing stages (ie. phase 3 - which means human trials with more than 30,000 people).

In the meantime 3 vaccines (Moderna, BioNTech/Pfizer and Oxford/ AstraZeneca) have successfully completed their stage 3 trials and are likely to be released this year, whilst we are still waiting for the results of 8 other vaccines. The effectiveness rate of these new types of vaccines has also been astonishingly high – as highlighted by chart 1. In comparison to the vaccine against the flu for instance, the efficacity rate of the Moderna COVID vaccine is 50% higher and has proven to be effective in 94.5% of cases.

Whilst it will take months for enough vaccines to be produced, the debate amongst investors has now

firmly shifted from "will there be an effective vaccine?" to "who will get the vaccine first?" And "when will we get back to a normal life?" This is a tremendous shift forward compared to just a few months ago!

What does a Biden Presidency and a likely Republican Senate mean for the markets?

At the time of writing, the most likely scenario is that President Biden will be leading with a Democratic House of Representatives and a slightly Republican leaning Senate. It is important to note that this constellation is not necessarily adverse for markets.

First, and contrary to common belief, stock markets have on average fared better under Democratic than Republican Presidents.

Second, whilst both Republicans and Democrats agree on the need for a further stimulus package in order to soften the immediate impact of COVID on the US economy, a Republican Senate majority is less likely to approve Biden's proposed corporate tax increases. In addition, a Republican Senate will be less inclined to sharply regulate large technology companies, a wish expressed by some prominent Democrats. Finally, President Biden has appointed key government members who are positive for markets, global trade and the green new deal.

What will be the policy of central banks and governments going forward? What is the outlook for growth in 2021?

In the near term and until COVID is finally defeated, major Central Banks will continue to provide support by keeping interest rates at very low levels until their economies have recovered. This is especially the case since there have been little signs that inflation is accelerating. The same goes for governments, which are continuing to support their respective economies with stimulus programs in order to dampen the economic blow from the pandemic.

We can therefore expect far stronger economic growth next year, on the back of strong stimulus measures, accommodative policies from Central Banks and a gradual reopening of COVID affected economies.

What does this mean for our investment strategy?

(1) The economic context should benefit riskier assets. We hence are overweight equities over bonds and cash in our portfolios

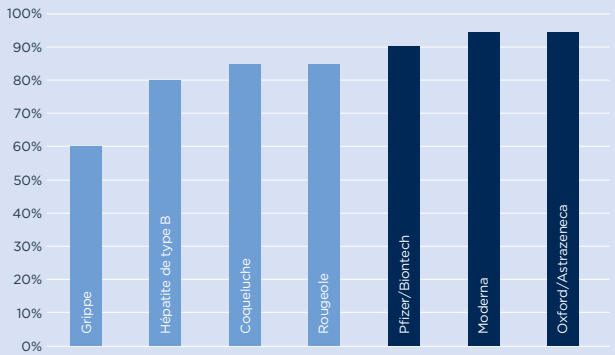
(2) Within Equities we purchased equities linked to Joe Biden's economic program. We have also increased our holdings in Asian and particularly Chinese Equities as these economies succeeded in sustainably curbing the COVID infection rates – as highlighted by chart 2, which allowed them to reopen earlier

(3) We also built exposure to leading companies operating in sectors such as tourism, travel and luxury, which were particularity hit by COVID. These leading companies have been penalized very hard by the lack of demand due to the pandemic and are offering good value in our opinion. They are likely to benefit from the gradual reopening of Western economies.

(4) Within bonds we have a preference for corporate credit and Emerging Markets credit, which provide us with a higher yield than many government bonds from Developed countries.

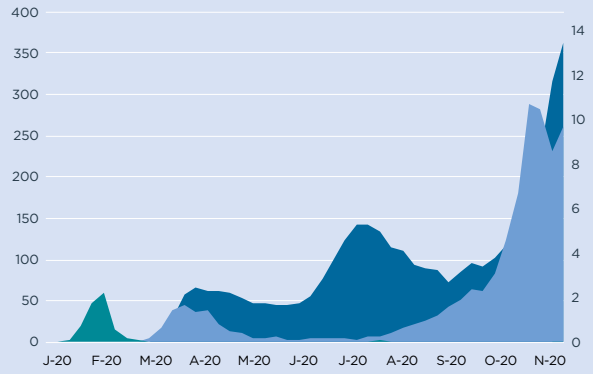
(5) Finally, we have taken advantage of the current high gold prices by locking in profits and reducing overweight exposure back to neutral.

01. COVID: Vaccine effectiveness



Source: Bloomberg / Edmond de Rothschild

02. COVID: Weekly Variation of Covid Confirmed Cases (per 100'000 people)



France + Germany USA China (rhs)
Source: Bloomberg / Edmond de Rothschild

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